For example, if you paid $1,200 in student loan interest for the year, you would write that on line 4 and line 4(b) in Figure 7.4. This would reduce your taxable income by $1,200. It does not mean you get all of that $1,200 back, but it is another $1,200 that you do not have to pay income tax on, which is nice.

Sometimes, employers make mistakes with your paychecks and either withhold too much or too little from your paychecks. Because of this, you need to make sure that your withholdings are correct. When you get a job, or if you already have a job and want to make sure that you are not going to have a monster bill when you file your taxes, go to www.irs.gov/W-4app. This calculator will help you figure out if you are on your way to getting money or paying money when you file your taxes. It will ask you to enter information from your pay stub: how often you are paid, the date of the last pay period, the year-to-date taxes you have already paid, and your expected income for the year. Depending on what you input, it will tell you if you need to modify your W-4.

Another key tax form is the **W-2**, which shows all the money you earned and all the taxes you paid in one calendar year, from one employer. It is sort of like a collection of all your pay stubs for the year on one document. You do not need to fill anything out on a W-2, but you will need to have it on hand in order to file your taxes. Your employer will give you your W-2 in January, and if they don't give it to you by January 31—because, remember, you need to file before April 15—you need to start bugging them about it.

The **1040** is one of a series of forms you will use to actually file your taxes. By filling out this form, you will learn whether or not you will be getting a tax refund (money back) or if you will owe the IRS money for the previous calendar year. While this process was once a feared and tedious task, it is incredibly easy today. If you are like most people and have one employer who gives